

Immigrants' Pathways to Success: Study Permit vs Permanent Residency

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Simon Fraser University

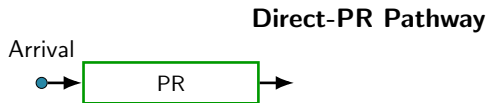
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Department of Economics,
Simon Fraser University

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The figures and numerical values presented are simulated and illustrative. They are designed to approximate the underlying patterns and should not be interpreted as exact estimates.

Immigration Pathways



Immigration Pathways

Direct-PR Pathway



Study-to-PR Pathway



Study-to-PR: Costs and Benefits

Potential Costs

- ▶ Delayed entry into the Canadian labour market
- ▶ Delayed transition to permanent residency

Potential Benefits

- ▶ Opportunity to adapt to life in Canada prior to long-term career decisions
- ▶ Improve official language proficiency
- ▶ Build professional and social networks
- ▶ Obtain a Canadian degree or credential
- ▶ Co-op placements or internships
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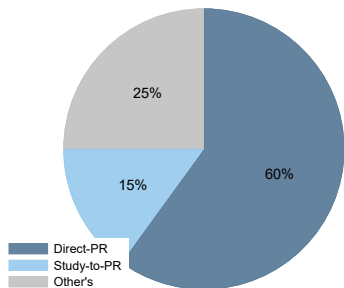
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Research Question

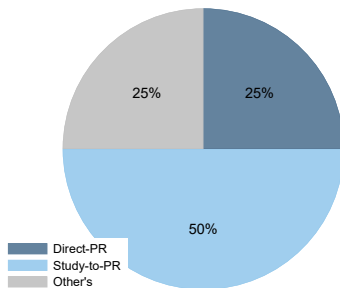
What are the long-run economic effects of entering Canada as:

- ▶ a direct permanent resident (**Direct-PR**), versus
- ▶ an international student who subsequently transitions to permanent residency (**Study-to-PR**)?

Motivation: Increasing Share of Study-to-PR pathway



(a) 2000 admission cohort



(b) 2023 admission cohort

This Paper

- ▶ We use an event-study framework to compare income trajectories across the two immigration pathways.
 - ▶ Controlling for observable characteristics at the time of arrival.
- ▶ **Main Finding:** Direct-PR immigrants earn more initially, but Study-to-PR immigrants overtake them after approximately 9 years since arrival.

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Data

1. **Longitudinal Immigration Database (IMDB)**

- ▶ 2000–2023 admission cohorts
- ▶ Universe of permanent and temporary immigrants admitted to Canada
- ▶ Longitudinal panel of tax records
- ▶ Detailed administrative information on immigrants

2. 2016 Census Long Form

- ▶ Linked to the IMDB
- ▶ Additional demographic, educational, and labor market information

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Main Variables (IMDB)

▶ Immigration pathways

- ▶ **Study-to-PR**: entered Canada on a study permit and transitioned to permanent residency within 10 years of arrival
- ▶ **Direct-PR**: admitted directly as permanent residents with no prior temporary permit records

▶ Labour market outcomes

- ▶ Annual individual employment income
- ▶ Employed = 1 if reported employment income in a tax year

▶ Socio-economic characteristics at arrival

- ▶ Age, gender, and marital status
- ▶ Region of birth and mother tongue indicators (English/French)
- ▶ Province and year of arrival
- ▶ Educational attainment
 - For Study-to-PR immigrants: inferred as one level below the intended level of study in Canada

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Sample Restrictions

- ▶ Classified as either **Study-to-PR** or **Direct-PR**
 - ▶ Excluding immigrants entered on work-permit
- ▶ Economic-class immigrants only
 - ▶ Excluding refugees, and family-sponsored immigrants
- ▶ Principal applicants only
 - ▶ Excluding spouses, and dependents.
- ▶ For Study-to-PR immigrants:
 - ▶ Excluding intended secondary and college education
- ▶ **Observation window**
 - ▶ Admission cohorts: 2000–2023
 - ▶ Age: 18–64
 - ▶ Followed for up to 15 years since arrival

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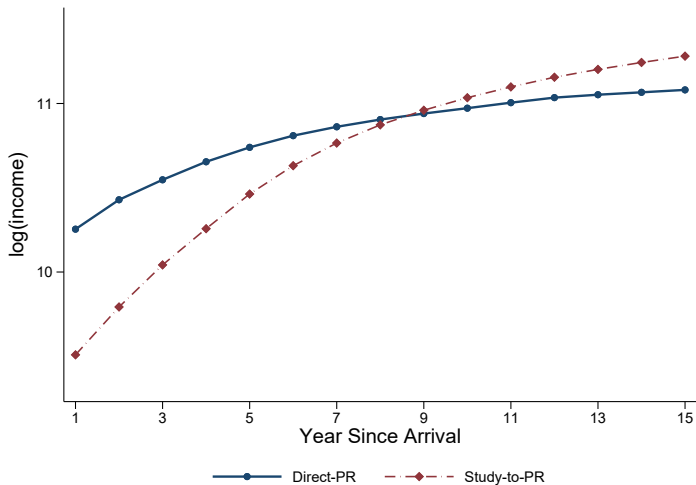
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Empirical Specification

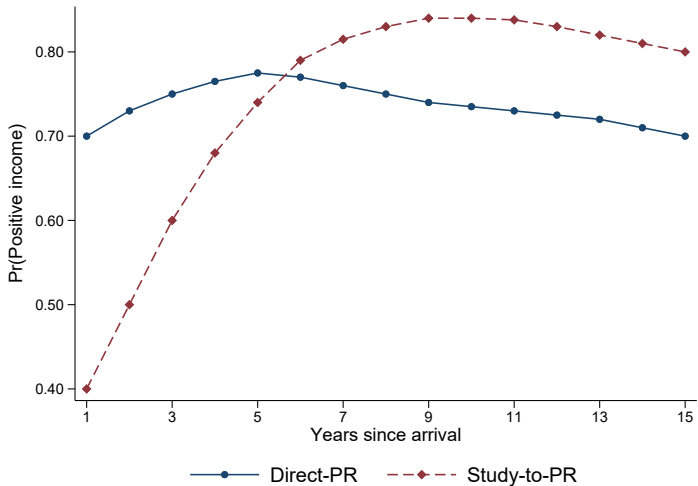
$$\ln(y_{it}) = \sum_{\tau} [\alpha_{\tau} \text{YSA}_{it}^{\tau} + \beta_{\tau} (\text{Study-to-PR}_i \times \text{YSA}_{it}^{\tau})] + X_i' \lambda + \varepsilon_{it} \quad (1)$$

- ▶ YSA_{it}^{τ} : indicators for years since arrival (YSA)
- ▶ X_i : characteristics at admission
 - ▶ Age, gender, **marital status**, education, region of birth, mother tongue, province and year of arrival
- ▶ α_{τ} : earnings profile of Direct-PR immigrants over time since arrival
- ▶ β_{τ} : differential earnings trajectory of Study-to-PR immigrants relative to Direct-PR immigrants
- ▶ Standard errors clustered at the individual level

Income Trajectories: Direct-PR vs. Study-to-PR



Employment



Robustness Checks

▶ **Alternative specifications**

- ▶ Controlling for educational attainment at landing
- ▶ Matched-pair estimation

▶ Admission cohorts

- ▶ The incomes crossover between Study-to-PR and Direct-PR immigrants occurs earlier among more recent cohorts

▶ Admission Cohorts

▶ Express Entry sub-sample

- ▶ Pre-arrival foreign work experience and skill-level
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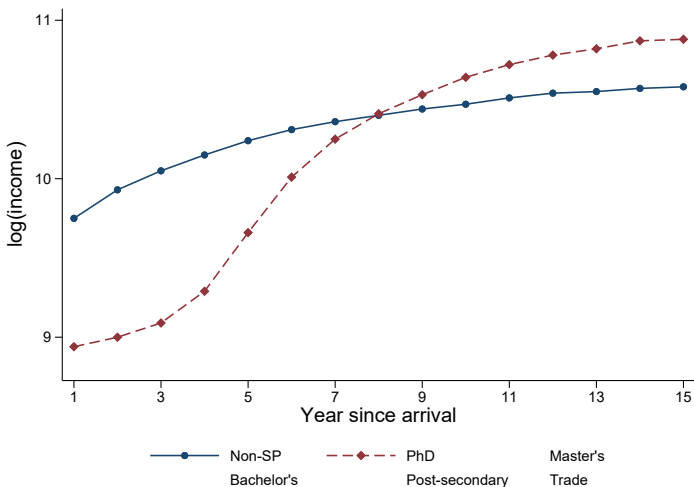
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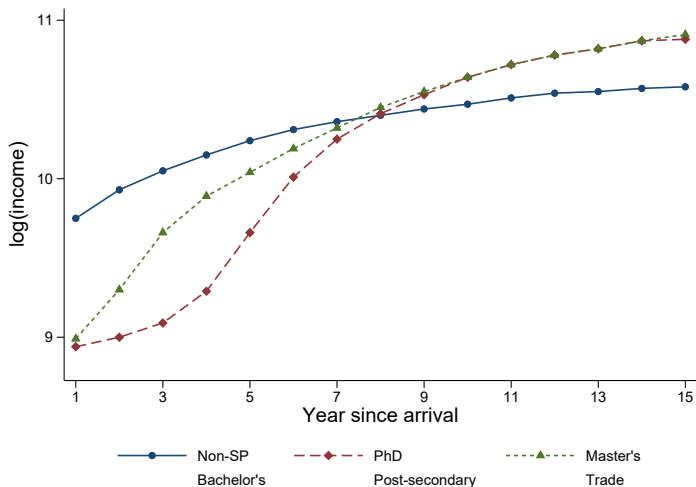
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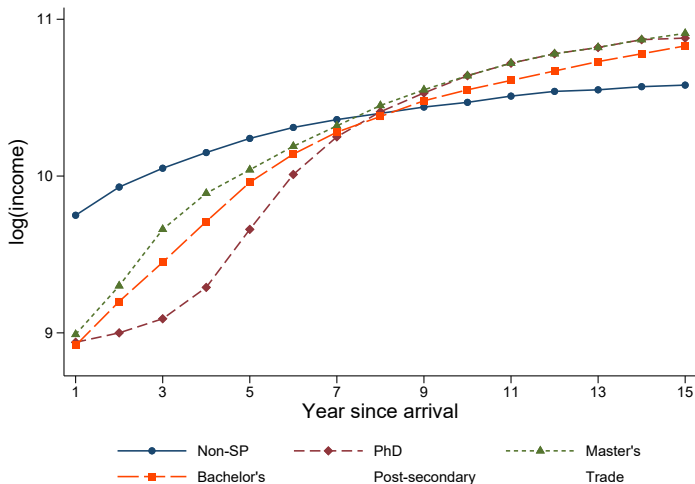
Income Trajectories by Intended Study Level in Canada



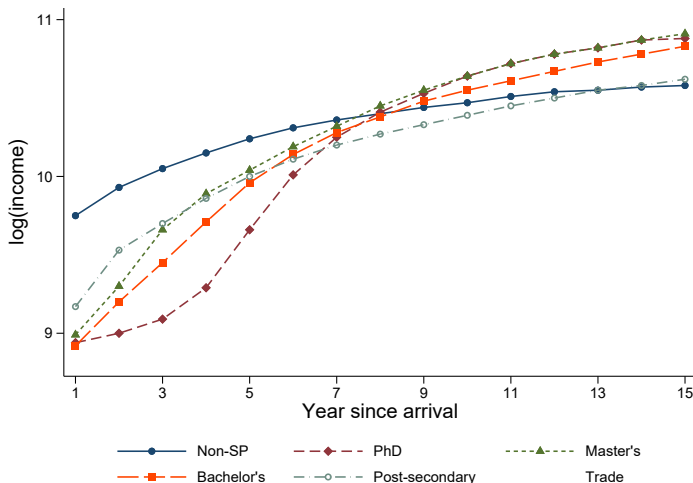
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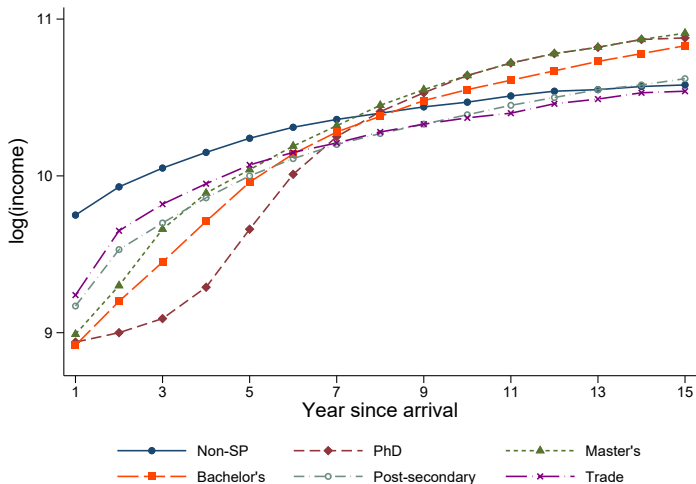


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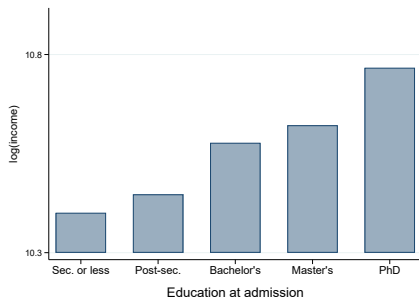
Note: Post-secondary includes vocational and technical training, and other university programs (CAAT/CEGEP/PTC/TCST/DVS/AVS)

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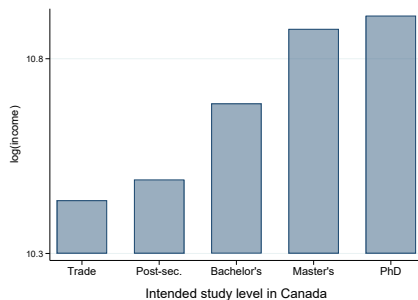


Note: Trade includes trade School and CEGEP (Technical)

Employment Income 15 Years after Arrival

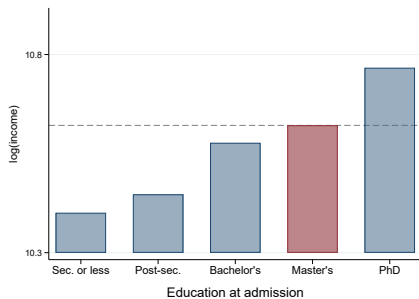


(a) Direct-PR [Trends](#)

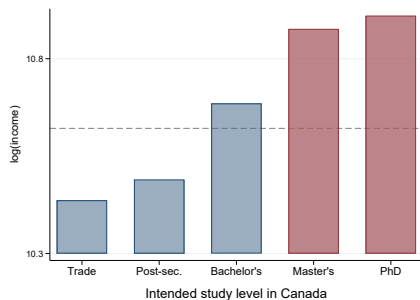


(b) Study-to-PR

Employment Income 15 Years after Arrival



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2016 Census Linkage to the IMDB

- ▶ Cross-sectional snapshot of different immigrants at different years since arrival
- ▶ **Socio-economic outcomes and characteristics in 2016**
 - ▶ Weekly individual employment income
 - ▶ After arrival occupation
 - ▶ Highest educational attainment (Canada vs. abroad)
 - ▶ Field of study
- ▶ **Sample restrictions**
 - ▶ Years since arrival: 5–20

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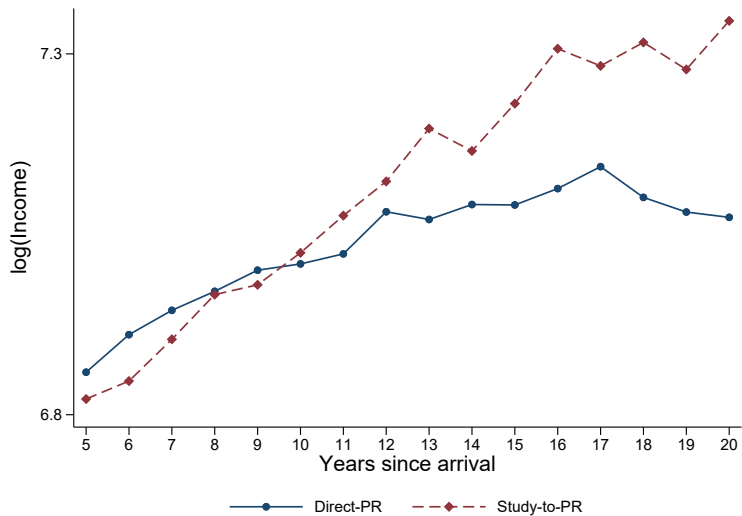
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Empirical Specification: 2016 Census

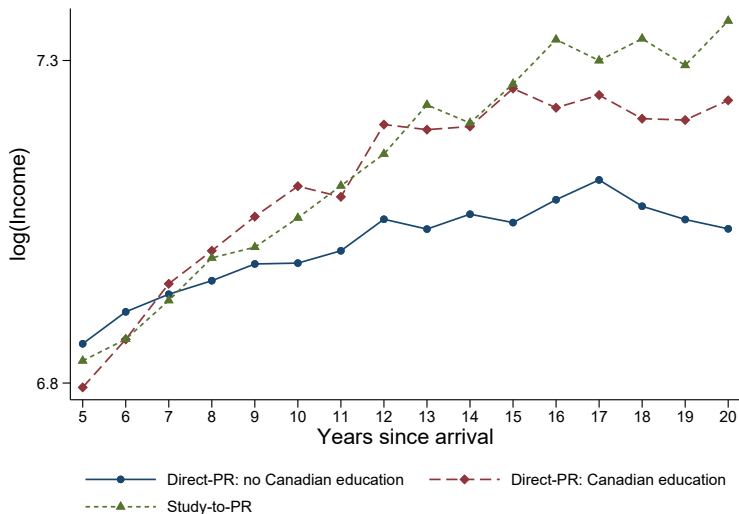
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- ▶ YSA_i^{τ} : Indicators for years since arrival.
- ▶ X_i : Socio-economic characteristics at arrival,
 - ▶ Highest educational attainment abroad, field of study
 - ▶ No year-of-arrival fixed effects
- ▶ α_{τ} : Direct-PR income for difference years since arrival
- ▶ β_{τ} : Income gap between Study-to-PR and Direct PR since arrival

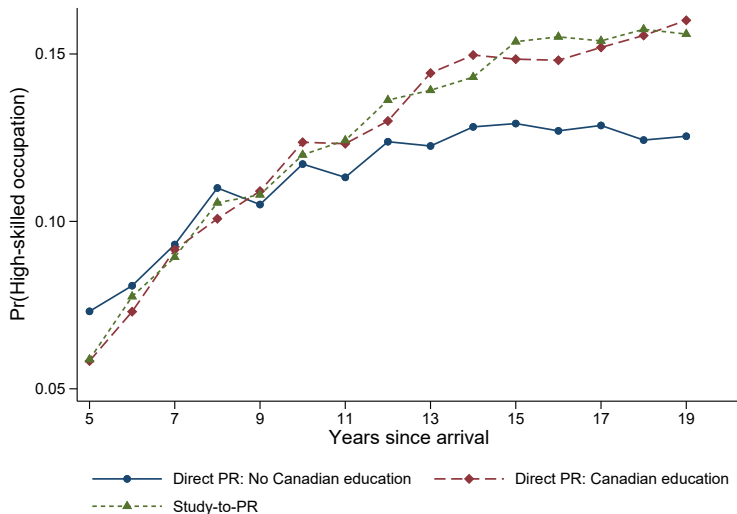
Income by Years Since Arrival: 2016 Census



Income by Years Since Arrival: 2016 Census



Indicator a High-Skilled Occupation



Note: High-skill occupation indicator equal to 1 for managers and professionals

Conclusion

- ▶ Immigration pathways have important implications for immigrants' long-run earnings trajectories.
- ▶ Direct-PR immigrants earn more initially, but Study-to-PR immigrants overtake them after approximately 9 years since arrival.
- ▶ Evidence suggests that over-qualification may be an important mechanism.

Discussion and Ongoing Work

- ▶ **Selection into immigration pathways:**

- ▶ **Ongoing work:** exploiting policy variation that shifts immigrants from Direct-PR to Study-to-PR pathways to strengthen causal identification.

- ▶ **Selective attrition in Study-to-PR**

- ▶ Not all international students transition to permanent residency.
- ▶ However, more than 85% of PGWP holders eventually become permanent residents.
- ▶ **Ongoing work:** determinants of out-migration and non-transition.

- ▶ **Ongoing work: IMDB–PSIS linkage:**

- ▶ Incorporate detailed information on Canadian post-secondary programs and institutions

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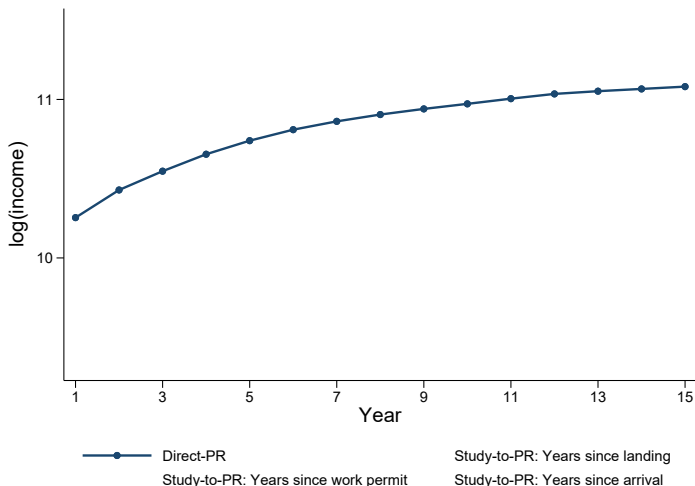
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Thank You

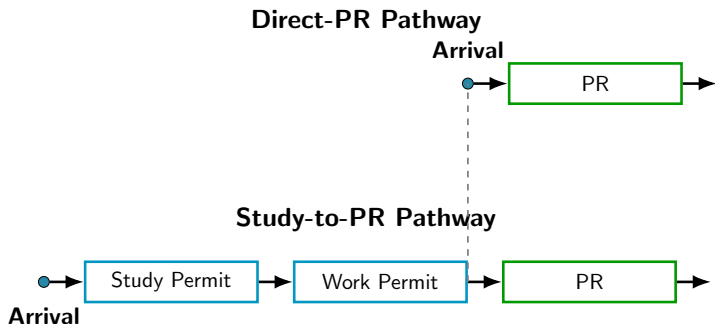
Questions?

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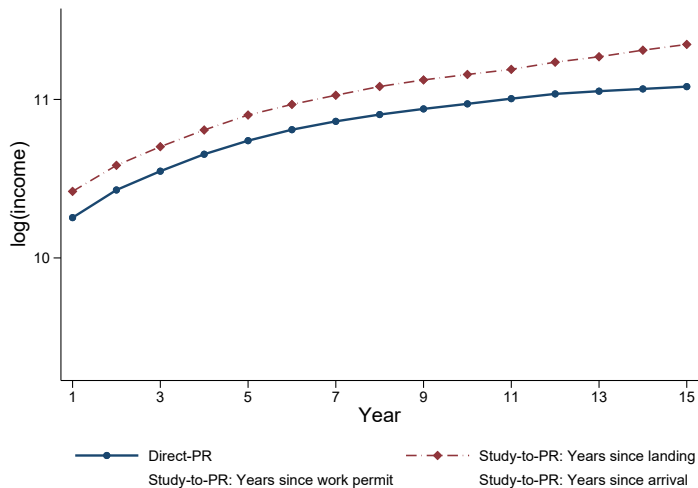
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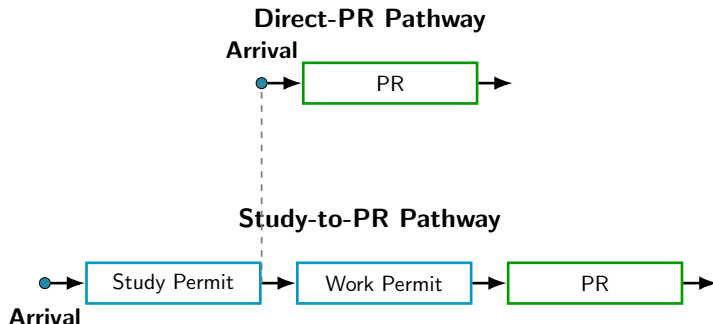
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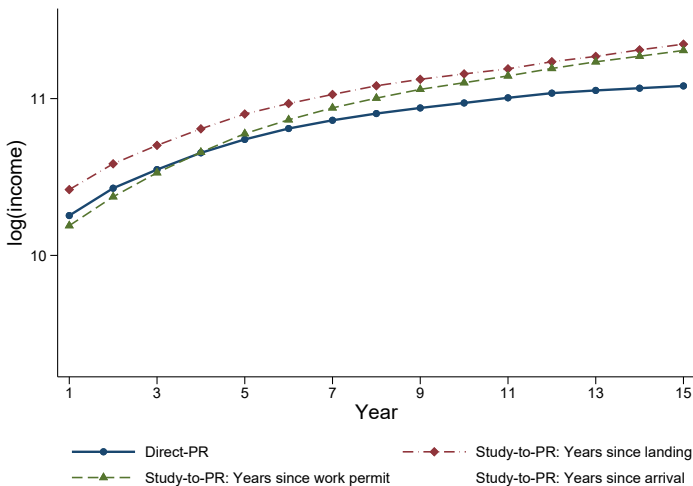
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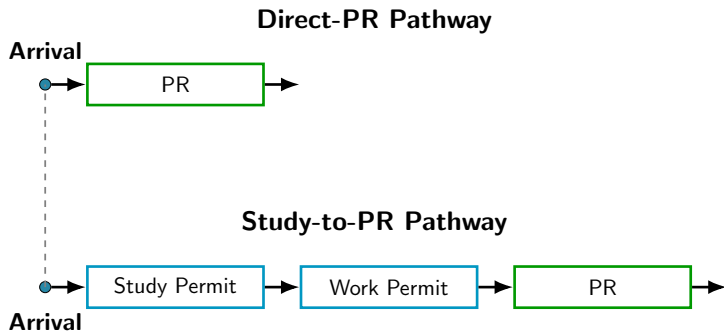
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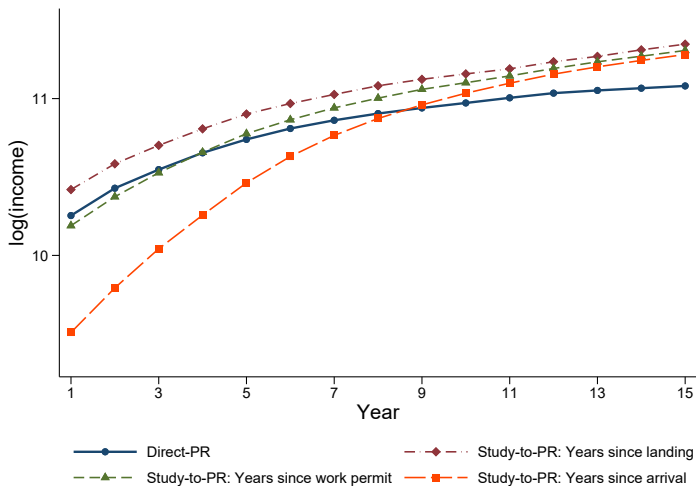
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Income Trajectories: Direct-PR vs. Study-to-PR



Summary Characteristics at Arrival

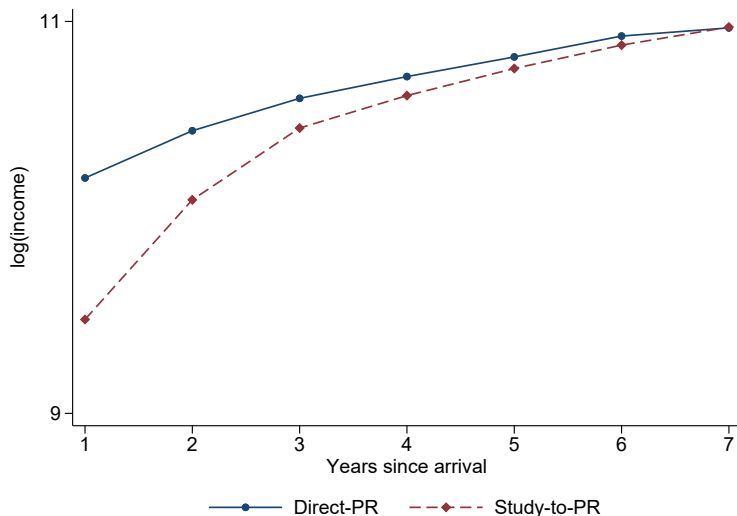
	Direct-PR	Study-to-PR
Average admission age	35	24
Median education level	Master's	Undergraduate
Married at admission	70%	35%

Express Entry Subsample

- ▶ Main variables
 - ▶ Foreign education level
 - ▶ If missing for Study-to-PR: one level before the intended level of study in Canada
 - ▶ Pre-arrival work experience: Years of foreign work experience
 - ▶ High-skill occupation = 1 if managers or professionals
- ▶ Sample restriction:
 - ▶ immigrants admitted through the Express Entry system
 - ▶ admission cohorts 2015–2023
 - ▶ Seven years after arrival

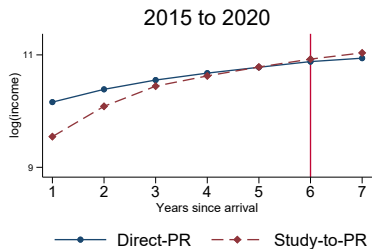
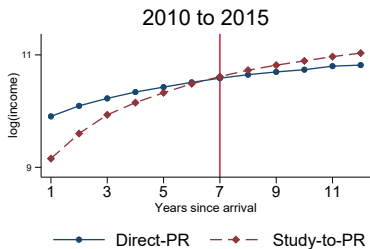
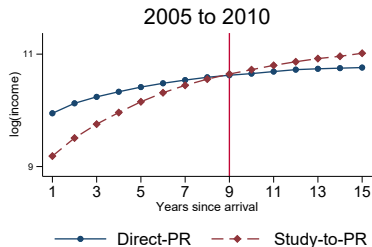
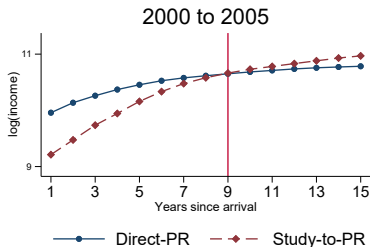
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Income Trajectories: Express Entry Subsample

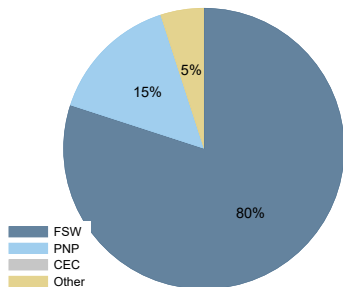


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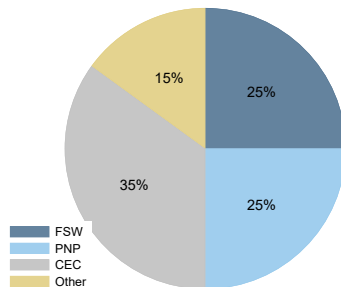
Direct-PR versus Study-to-PR: Admission Cohorts



Admission Category



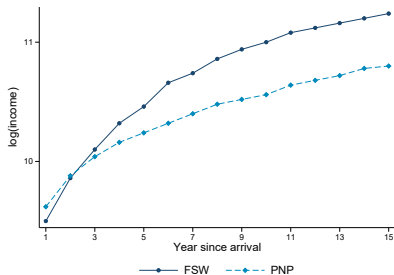
(a) Direct-PR



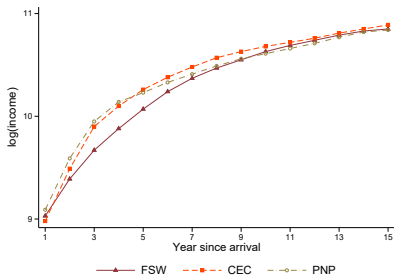
(b) Study-to-PR

► Back

Income by Admission Category



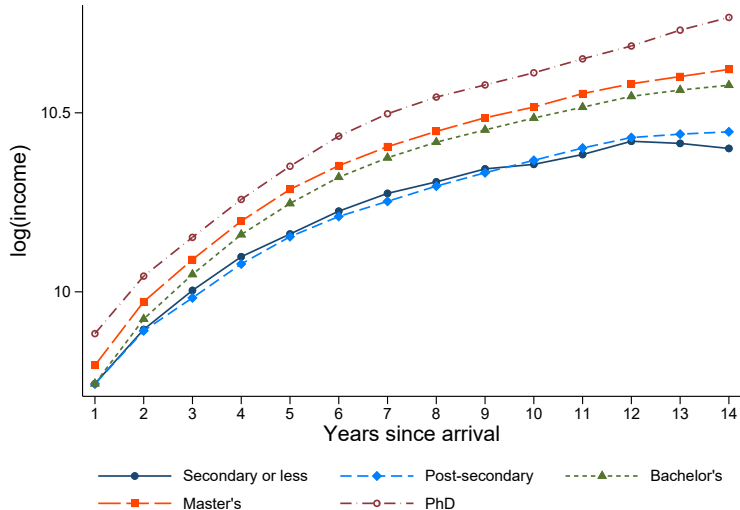
(a) Direct-PR



(b) Study-to-PR

► Back

Direct-PR by Admission Education



► Back

Post-secondary and Trade Definition

Post-secondary:

- ▶ University – Other Studies
- ▶ CAAT, CEGEP or other post-secondary
- ▶ PTC/TCST/DVS/AVS
- ▶ CEGEP - Pre-university
- ▶ Other Studies

Trade:

- ▶ Trade School
- ▶ CEGEP - Technical